

One of the greatest joys of being a shareholder is visiting the headquarters of the companies you own. If it's in the neighborhood, then getting an appointment is a cinch. They're delighted to give tours to the owners of 20,000 shares. If it's someplace across the country, maybe you can sneak in a visit on your summer vacation. "Gee whiz, kids, just sixty-three miles from here is the main office of Pacific Gas and Electric. Mind if I stop in for a peek at the balance sheet while you guys sit on the grass in the visitor's parking lot?" Okay, okay. Forget I suggested it.

When I visit a headquarters, what I'm really after is a feel for the place. The facts and figures can be gotten on the phone. I got positive feelings when I saw that Taco Bell's headquarters was stuck behind a bowling alley. When I saw those executives operating out of that grim little bunker, I was thrilled. Obviously they weren't wasting money on landscaping the office.

(The first thing I ask, by the way, is: "When is the last time a fund manager or an analyst visited here?" If the answer is "two years ago, I think," then I'm ecstatic. That was the case at Meridian Bank—22 years of up earnings, a great record of raising dividends, and they'd forgotten what an analyst looked like.)

Seek out the headquarters with the hope that if it's not stuck behind a bowling alley, then it will be located in some seedy neighborhood where financial analysts wouldn't want to be seen. The summer intern I sent to visit Pep Boys—Manny, Moe, and Jack reported that the Philadelphia cab drivers didn't want to take him there. I was as impressed with that as almost anything else he found out.

At Crown, Cork, and Seal, I noticed that the president's office had a scenic view of the can lines, the floors were faded linoleum, and the office furniture was shabbier than stuff I sat on in the Army. Now there's a company with the right priorities—and you know what's happened to the stock? It's gone up 280-fold in the last thirty years. Rich earnings and a cheap headquarters is a great combination.

So what do you make of Uniroyal, perched on a Connecticut hillside like all the fancy prep schools? I guessed it was a bad sign, and sure enough, the company went downhill. Other bad signs include fine antique furniture, trompe l'oeil drapes, and polished-walnut walls. I've seen it happen in many an office: when they bring the rubber trees indoors, it's time to fear for the earnings.

INVESTOR RELATIONS IN PERSON

Visiting headquarters also gives you a chance to meet one or more of the front-office representatives. Another way to meet one is to attend the annual meetings, not so much for the formal sessions, but for the informal gatherings.